	Fund A	Balance	Fund B	Balance
1985	-18.39%	$74,606	17.56%	$110,559
1986	-4.59%	$64,183	8.72%	$113,202
1987	-19.14%	$44,898	-3.35%	$102,406
1988	18.47%	$46,189	20.08%	$115,966
1989	14.30%	$45,796	19.62%	$131,714
1990	6.79%	$41,905	-13.64%	$106,743
1991	14.59%	$41,020	17.68%	$118,612
1992	-15.40%	$27,705	11.11%	$124,794
1993	8.95%	$23,184	1 6.39%	$138,246
1994	16.57%	$20,026	-9.11%	$118,654
1995	33.60%	$19,754	-9.76%	$100,069
1996	16.21%	$15,955	12.62%	$105,695
1997	19.52%	$12,070	-16.38%	$81,380
1998	20.72%	$7,571	7.72%	$80,659
1999	21.03%	$2,163	36.73%	$103,287
2000	-1.61%	$0	27.59%	$124,785
2001	21.22%	$0	12.80%	$133,757
2002	13.92%	$0	20.75%	$154,516
2003	5.26%	$0	14.99%	$170,683
2004	19.61%	$0	28.95%	$213,099
2005	26.57%	$0	-3.74%	$198,139
Arithmetic Mean:	10.4%		10.4%	
Standard Deviation:	14.6%		14.6%	

Figure 6.4 Why the difference? The first few years of income.

Source: Moshe Milevsky and the IFID Centre, 2008.

As you probably expected by now, the outcome is very different when we try to create a pension from this pot of money, as opposed to just letting it grow. Now imagine you modify the scenario and withdraw $7,000 from both Fund A and Fund B at the end of each year. As you can see in Figure 6.4, Fund A actually runs out of money just before the year 2000, while Fund B ends with a balance higher than the initial deposit of $100,000. A closer look at the actual annual returns once again leads to the same culprit: poor returns during the retirement risk zone in the case of Fund A, compared to the strong initial performance of Fund B. Here is the bottom line: When you are accumulating wealth by buying and holding, the sequence of return will not matter (or will matter much less) compared to when you are no longer saving for retirement.